you paid only $6, even if you forget to use the register reward. You are pleased with yourself because you account for the money you saved, not for the money you spent.

There are stores that consistently use this mind-game to their advantage, training their employees to circle the amount the customer has saved on the bottom of the receipt. “You’ve saved $56,” the cashier informed me after one transaction in which I’d bought a vacuum cleaner on sale. What I’d actually done was spend eighty-nine dollars on a vacuum that retailed for ninety dollars everywhere else. I chose the store and the sale simply for the ten-dollar reward I would need to remember to use the following week.

Would it make sense, then, for companies to simply stop offering coupons and just replace them with lower prices? We’ve already seen how that worked out with Procter & Gamble’s zero coupon test and the ready-to-eat cereal manufacturer’s reduction in coupons in the 1990s. A coupon is actually less risky to the merchant than straight reductions in price because someone has to physically go to the work of cutting out the coupon and bringing it into the store, and not every customer will do that, only the more price-sensitive customers will. In this respect, coupons offer that type of customer a different price option.

John H. Antil, an Assistant Professor of the Department of Business at the University of Delaware, also took a look at couponing as a promotional tool in an article published in a 1985 *Journal of Consumer Affairs*. He asserted that lowering prices instead of offering coupons would not work. His research pointed out that General Mills had estimated couponing costs are only 3% of the total dollars invested in promotion and that if cereal prices